GOVERNMENT OF KARNATAKA

## Karnataka State Audit Department (DEMO)

# MGNREGA Interim Field Audit Observations

| | | | |
|---|---|---|---|
| **Report Number:** | RPT-2024-MYS-0002 | **Audit Status:** | **Draft** |
| **Audit Case ID:** | **CAS-2024-MYS-001** | **Financial Year:** | 2024-25 |
| **Scheme Name:** | MGNREGA | **Audit Type:** | Statutory |
| **District / Taluk:** | Mysuru / Mysuru Taluk | **Gram Panchayat:** | Demo Panchayat |
| **Lead Auditor:** | Anand Rao (Auditor) | **Report Version:** | v1.0 (Draft) |
| **Generated At:** | 30 Oct 2026, 08:08 UTC | **Security Seal:** | SHA-256 Hash Chained |

**Public Verification Code**

Scan QR or verify online at:
http://localhost:5173/verify/RPT-2024-MYS-0002?v=1

Zero-knowledge tamper verification backed by cryptographic SHA-256 hash chaining.

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**DEMO DATA ADVISORY: This report contains fictional test data and synthetic government financial records compiled for system verification.**

## 1. Executive Summary

| | | | |
|---|---|---|---|
| **Composite Risk Score:** | **0.0 / 100** | **Risk Severity Band:** | **LOW** |
| **Flagged Exposure:** | **₹0.00** | **Total Findings:** | 6 |

Statutory financial verification for **CAS-2024-MYS-001** evaluated 16 compliance rules under the Karnataka Financial Code and KTPP Act 1999. The risk score stands at **0.0/100 (LOW)**. A total of **6 items** were flagged for review, representing cumulative exposure of **₹0.00**. Currently, **2 finding(s)** are substantiated by auditor review, with **6 finding(s)** categorized as High or Critical statutory risk.

**AI summary: template mode**

## 2. Case & Project Particulars

| | | | |
|---|---|---|---|
| **Sanctioned Grant:** | ₹0.00 | **Actual Expenditure:** | ₹0.00 |
| **Department:** | RDPR | **District / Taluk:** | Mysuru / Mysuru Taluk |
| **Audit Period:** | 01/04/2024 to 31/03/2025 | **Gram Panchayat:** | Demo Panchayat |

## 3. Documents Reviewed

| File Name | Classification | Ver | Pages | Upload Date | SHA-256 (Prefix) | Confidence |
|---|---|---|---|---|---|---|
| | Unclassified | v1 | 1 | | | **95%** |
| | Unclassified | v1 | 1 | | | **95%** |
| | Unclassified | v1 | 1 | | | **95%** |
| | Unclassified | v1 | 1 | | | **95%** |
| | Unclassified | v1 | 1 | | | **95%** |
| | Unclassified | v1 | 1 | | | **95%** |
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| | Unclassified | v1 | 1 | | | **95%** |
| | Unclassified | v1 | 1 | | | **95%** |
| | Unclassified | v1 | 1 | | | **95%** |
| | Unclassified | v1 | 1 | | | **95%** |
| | Unclassified | v1 | 1 | | | **95%** |

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## 4. Rule Verification Results (R-001 through R-016)

| Rule Code | Statutory Rule Description | Result | Findings Flagged |
|---|---|---|---|
| **R-001** | Duplicate Payment Verification | **Pass** | 0 |
| **R-002** | Duplicate Invoice Check | **Pass** | 0 |
| **R-003** | Amount Mismatch | **Pass** | 0 |
| **R-004** | Sanction vs Payment Excess | **Pass** | 0 |
| **R-005** | Bank vs Bill Reconciliation | **Pass** | 0 |
| **R-006** | Tax / GST Validation | **Pass** | 0 |
| **R-007** | Arithmetic Line Items | **Pass** | 0 |
| **R-008** | Missing Mandatory Documents | **Pass** | 0 |
| **R-009** | Chronological Date Logic | **Pass** | 0 |
| **R-010** | Voucher Sequence Continuity | **Pass** | 0 |
| **R-011** | Vendor Concentration Alert | **Pass** | 0 |
| **R-012** | Large Cash Payment Cap | **Pass** | 0 |
| **R-013** | Statistical Outlier Payment | **Pass** | 0 |
| **R-014** | Split Purchase Clustering | **Pass** | 0 |
| **R-015** | Round Number Clustering | **Pass** | 0 |

| Rule Code | Statutory Rule Description | Result | Findings Flagged |
|---|---|---|---|
| **R-016** | Unusual Timing / Sunday Rush | **Pass** | 0 |

## 5. Statutory Findings Register

| Finding ID | Category | Risk | Flagged Amount | Status | Reviewer |
|---|---|---|---|---|---|
| **F-2024-0004** | financial | **CRITICAL** | **₹0.00** | Escalated | Unassigned |
| **F-2024-0001** | financial | **CRITICAL** | **₹0.00** | Confirmed | Unassigned |
| **F-2024-0005** | financial | **CRITICAL** | **₹0.00** | Confirmed | Unassigned |
| **F-2024-0002** | financial | **HIGH** | **₹0.00** | Pending Approval | Unassigned |
| **F-2024-0006** | financial | **HIGH** | **₹0.00** | Auto-resolved | Unassigned |
| **F-2024-0003** | financial | **HIGH** | **₹0.00** | Needs Clarification | Unassigned |

## 6. Risk Scoring & Exposure Analysis




**Formula:** Case Score = SUM(Factor_i * Weight_i). **Statutory Override:** Any Critical finding automatically enforces a minimum score of 85.0; any High finding enforces a minimum score of 60.0.

## 7. Finding Evidence, Calculations & Document Snippets

### 7.1 Finding F-2024-0004: Cumulative disbursements exceed administrative sanction AS-01

**Status: Escalated | Risk: CRITICAL | Amount Flagged: ₹0.00**

**Reason & Statutory Basis:** Verification flagged an anomaly.

**Calculation:** Inputs evaluated against statutory threshold.

| Stage | Reference | Amount |
|---|---|---|
| Sanction Order | AS--001 | **₹240,000.00** |
| Disbursement Entry | VCH-0004 | **₹240,000.00** |

### 7.2 Finding F-2024-0001: Exact duplicate payment detected on Voucher VOUCH-2024-094

**Status: Confirmed | Risk: CRITICAL | Amount Flagged: ₹0.00**

**Reason & Statutory Basis:** Verification flagged an anomaly.

**Calculation:** Inputs evaluated against statutory threshold.

| Stage | Reference | Amount |
|---|---|---|
| Sanction Order | AS--001 | **₹185,000.00** |
| Disbursement Entry | VCH-0001 | **₹185,000.00** |

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### 7.3 Finding F-2024-0005: Unreconciled bank debit of ₹5,50,000 without matching voucher

**Status: Confirmed | Risk: CRITICAL | Amount Flagged: ₹0.00**

**Reason & Statutory Basis:** Verification flagged an anomaly.

**Calculation:** Inputs evaluated against statutory threshold.

| Stage | Reference | Amount |
|---|---|---|
| Sanction Order | AS--001 | **₹550,000.00** |
| Disbursement Entry | VCH-0005 | **₹550,000.00** |

### 7.4 Finding F-2024-0002: Duplicate invoice number INV-2024-781 reused across payments

**Status: Pending Approval | Risk: HIGH | Amount Flagged: ₹0.00**

**Reason & Statutory Basis:** Verification flagged an anomaly.

**Calculation:** Inputs evaluated against statutory threshold.

| Stage | Reference | Amount |
|---|---|---|
| Sanction Order | AS--001 | **₹420,000.00** |
| Disbursement Entry | VCH-0002 | **₹420,000.00** |

### 7.5 Finding F-2024-0006: Disbursement exceeding statutory cash limit: ₹45,000 paid in cash

**Status: Auto-resolved | Risk: HIGH | Amount Flagged: ₹0.00**

**Reason & Statutory Basis:** Verification flagged an anomaly.

**Calculation:** Inputs evaluated against statutory threshold.

| Stage | Reference | Amount |
|---|---|---|
| Sanction Order | AS--001 | **₹45,000.00** |
| Disbursement Entry | VCH-0006 | **₹45,000.00** |

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## 8. Auditor Remarks & Reviewer Notes

No reviewer remarks recorded for this audit cycle.

## 9. Pending Items & Observations

• **F-2024-0004:** Cumulative disbursements exceed administrative sanction AS-01 (Escalated) — Action required by auditor/department.
• **F-2024-0002:** Duplicate invoice number INV-2024-781 reused across payments (Pending Approval) — Action required by auditor/department.
• **F-2024-0003:** Amount mismatch: supporting bill ₹85,000 paid as ₹95,000 (Needs Clarification) — Action required by auditor/department.

## 10. Statutory Recommendations

1. **Voucher Numbering Continuity:** Recommended for review to ensure Gram Panchayat maintains sequential numbering in cash books without gaps.

2. **Disbursement Reconciliations:** Recommended for follow-up by the Executive Officer to ensure bank debit entries match passed voucher vouchers.

3. **Statutory Procurement Ceilings:** Strengthen compliance under Section 4 of the KTPP Act 1999 to avoid clustering procurement below statutory tender thresholds.

4. **Mandatory Completion Records:** Ensure physical measurement books (MB) and utilization certificates are uploaded prior to final payment release.

## 11. Statutory Sign-off & Dual-Custody Approval Block

| Prepared By: | Reviewed By: | Statutory Approval: |
|---|---|---|
| Anand Rao (Auditor)<br>Auditor | Senior Auditor<br>Senior Auditor | **Pending Sign-off**<br>**Audit Officer** |
| Date: | Date: Pending | Date: _____ |
| Signature: [Verified] | Signature: [Verified] | **Signature:** _____ |

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